

July 10, 2026 10:33 AM GMT

COSCO SHIPPING Energy Transportation | Asia Pacific

1H26 Prelims: QoQ improvement slightly better than we anticipated

Reaction to earnings**Strengthens our thesis**

Impact to our thesis

In-line

Financial results versus consensus

Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Implied 2Q26 net profit was Rmb2.3bn, doubling YoY and +7% QoQ, vs. MSe Rmb2.2bn.
- With CSE's affected vessels having safely exited SoH by late June, 3Q26 could see improved effective utilization if traffic normalizes.
- FY26 earnings may see upside risk if tanker demand proves stronger or lasts longer than expected.

CSE announced 1H26 preliminary results on July 10, 2026. It expects 1H26 net profit of Rmb4.5bn, up 141% YoY on a restated basis. Recurring net profit is expected at Rmb4.4bn, up 148% YoY. Implied 2Q26 net profit of Rmb2,327mn (doubled YoY, +7% QoQ) is **6% above the MSe of Rmb2.2bn**.

The minor QoQ improvement is due to effective-rate dilution from vessels trapped in the Gulf, and soft rates in int'l product oil and domestic oil shipments amid the geopolitical tension, we think.

Management cited robust tanker rates as the key earnings driver, with average TCEs on TD15 (West Africa–China) and TD22 (US Gulf–China) up 180%/170% YoY in 1H26.

See also:

Positive RTI on [CSE-H](#) and [CSE-A](#)
[Hong Kong/China Transportation & Infrastructure: Catalyst Preview: Mandatory Profit Alerts \(30 Jun 2026\)](#)
[Tanker Shipping: Beneficiary of Strait Reopening; Reiterate Bullish Views \(15 Jun 2026\)](#)

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**COSCO SHIPPING Energy Transportation (1138.HK, 1138 HK)**

Hong Kong/China Transportation & Infrastructure | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$26.00
Up/downside to price target (%)	99
Shr price, close (Jul 10, 2026)	HK\$13.08
52-Week Range	HK\$22.40-6.26
Sh out, dil, curr (mn)	1,296
Mkt cap, curr (mn)	Rmb80,429
EV, curr (mn)	Rmb102,950
Avg daily trading value (mn)	HK\$403

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.74	1.68	1.28	1.29
EPS (Rmb)§	0.91	1.86	1.49	1.25
Revenue, net (Rmb mn)	23,701	33,859	29,586	30,395
EBITDA (Rmb mn)	9,511	16,466	14,086	14,631
ModelWare net inc (Rmb mn)	4,037	9,192	6,997	7,067
P/E	11.7	6.7	8.8	8.8
P/BV	1.0	1.2	1.1	1.0
RNOA (%)	6.5	13.9	10.2	9.6
ROE (%)	11.1	19.8	13.1	12.7
EV/EBITDA	8.7	6.1	7.4	7.3
Div yld (%)	4.4	7.6	5.8	5.9
FCF yld ratio (%)**	25.1	7.3	2.3	2.7
Leverage (EOP) (%)	41.5	31.4	36.1	37.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

COSCO SHIPPING Energy Transportation (1138.HK)

Price/book, probability-weighted 25% bull, 60% base, 15% bear. The more positive skew toward our bull case reflects VLCC's tight supply, more sanctions on the "dark fleet," and continuous OPEC+ production hikes.

Target 2027e P/B multiples:

Base - 1.9x (3.5x SD above historical mean since 2009)

Bull - 3.7x (9.1x SD above historical mean since 2009)

Bear - 1.0x (0.8x SD above historical mean since 2009)

Risks to Upside

- More crude oil shipping demand thanks to Hormuz reopening, or removal of sanctions on Iranian oil exports.
- Longer shipment distances
- More scrapping of aged vessels

Risks to Downside

- Weaker global economy leading to lower crude demand
- Lower-than-expected crude oil output from OPEC
- The return of shadow fleets

COSCO SHIPPING Energy Transportation (600026.SS)

Price/book, probability-weighted 25% bull, 60% base, 15% bear. The more positive skew toward our bull cases reflects VLCC's tight supply, more sanctions on the "dark fleet," and continuous OPEC+ production hikes.

Target P/B multiples: 5.6x bull, 2.5x base, 1.2x bear (9.1x SD above, 2.7x SD above, and largely equivalent to historical mean since 2009)

Target A/H premiums: 45% bull, 30% base, 15% bear.

Risks to Upside

- More crude oil shipping demand thanks to Hormuz reopening, or removal of sanctions on Iranian oil exports.
- Longer shipment distances
- More scrapping of aged vessels

Risks to Downside

- Weaker global economy leading to lower crude demand
- Lower-than-expected crude oil output
- Compression of A-H premium

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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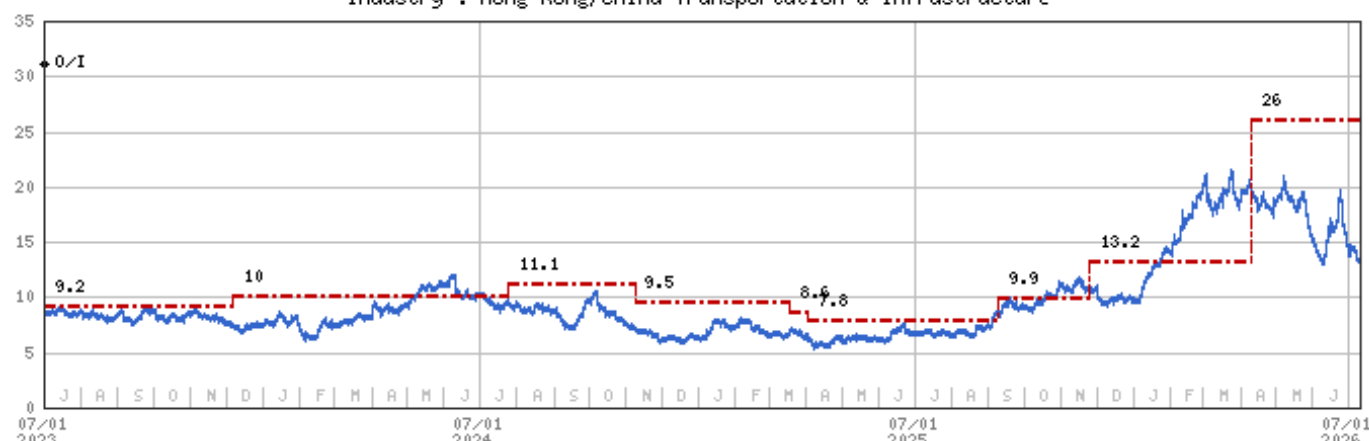
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Stock Price, Price Target and Rating History (See Rating Definitions)

COSCO SHIPPING Energy Transportation (1138.HK) - As of 07/10/26 GMT in HKD
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 7/1/21 : E/I; 6/10/22 : U/I; 1/12/23 : O/I

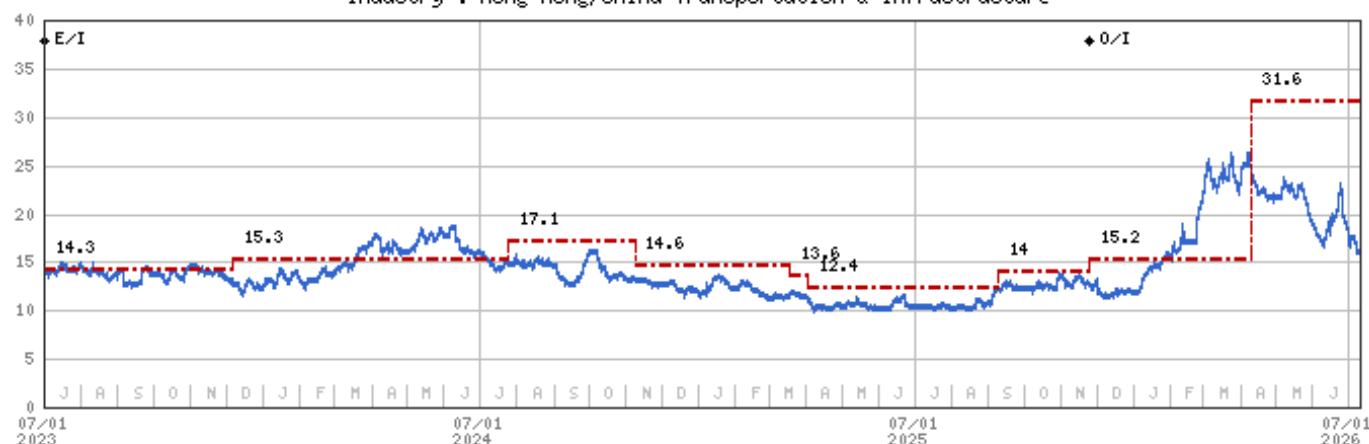
Price Target History: 11/9/20 : 4.06; 11/30/21 : 2.84; 5/20/22 : 4.08; 6/10/22 : 4.71; 1/12/23 : 7.58; 2/28/23 : 9.2; 12/7/23 : 10; 7/25/24 : 11.1; 11/8/24 : 9.5; 3/18/25 : 8.6; 4/3/25 : 7.8; 9/9/25 : 9.9; 11/25/25 : 13.2; 4/10/26 : 26

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COSCO SHIPPING Energy Transportation (600026.SS) - As of 07/10/26 GMT in CNY
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 7/1/21 : U/I; 1/12/23 : E/I; 11/25/25 : O/I

Price Target History: 11/9/20 : 5.54; 11/30/21 : 3.87; 5/20/22 : 5.36; 6/10/22 : 7.13; 1/12/23 : 11.47; 2/28/23 : 14.3; 12/7/23 : 15.3; 7/25/24 : 17.1; 11/8/24 : 14.6; 3/18/25 : 13.6; 4/3/25 : 12.4; 9/9/25 : 14; 11/25/25 : 15.2; 4/10/26 : 31.6

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Qianlei Fan, CFA		

Air China Limited (601111.SS)	E (07/07/2026)	Rmb6.00
Air China Limited (0753.HK)	O (01/13/2025)	HK\$4.14
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb4.66
BOC Aviation (2588.HK)	O (03/21/2022)	HK\$78.95
Cathay Pacific Airways (0293.HK)	O (06/10/2026)	HK\$13.27
China Eastern Airlines (600115.SS)	E (07/07/2026)	Rmb3.66
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK\$3.13
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb15.47
China Southern Airlines (600029.SS)	E (07/07/2026)	Rmb5.11
China Southern Airlines (1055.HK)	O (01/13/2025)	HK\$3.41
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK\$13.08
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb15.77
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb13.98
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK\$13.93
J&T Global Express Ltd (1519.HK)	O (07/06/2026)	HK\$9.08
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK\$128.80
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK\$3.01
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb32.03
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK\$33.52
Spring Airlines (601021.SS)	O (08/31/2015)	Rmb46.03
TravelSky Technology (0696.HK)	U (01/13/2025)	HK\$8.20
ZTO Express (ZTO.N)	O (11/21/2016)	US\$23.45
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK\$1.55
Guangzhou Baiyun Int'l Airport (600004.SS)	U (06/10/2026)	Rmb7.48
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK\$12.68
Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb22.84
STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb16.16
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb16.74
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb6.72

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.